Meta Platforms, Inc. (META)
Third Quarter 2022 Results – Prepared Remarks
October 26th, 2022

Deborah Crawford, VP, Investor Relations

Thank you. Good afternoon and welcome to Meta Platforms third quarter 2022 earnings conference call. Joining me today to discuss our results are Mark Zuckerberg, CEO and Dave Wehner, CFO. Susan Li, VP of Finance and our incoming CFO and Marne Levine, Chief Business Officer are also on the call and will join Mark and Dave for the Q&A portion.

Before we get started, I would like to take this opportunity to remind you that our remarks today will include forward-looking statements. Actual results may differ materially from those contemplated by these forward-looking statements.

Factors that could cause these results to differ materially are set forth in today's press release, and in our quarterly report on form 10-Q filed with the SEC. Any forward-looking statements that we make on this call are based on assumptions as of today and we undertake no obligation to update these statements as a result of new information or future events.

During this call we may present both GAAP and non-GAAP financial measures. A reconciliation of GAAP to non-GAAP measures is included in today's earnings press release. The press release and an accompanying investor presentation are available on our website at investor.fb.com.

And now, I'd like to turn the call over to Mark.

Mark Zuckerberg, CEO

Hey everyone, thanks for joining today.

Our community continued to grow this quarter. We now reach more than 3.7 billion people monthly across our family of apps.

And while we continue to navigate some challenging dynamics -- a volatile macroeconomy, increasing competition, ads signal loss, and growing costs from our long-term investments -- I have to say that our product trends look better from what I see than some of the commentary I've seen suggests.

There has been a bunch of speculation about engagement on our apps and what we're seeing is more positive. On Facebook specifically, the number of people using the service each day is the highest it's ever been -- nearly 2 billion -- and engagement trends are strong. Instagram has more than 2 billion monthly actives. WhatsApp has more than 2 billion daily actives, also with the exciting trend that North America is now our fastest growing region. Across the family, some apps may be saturated in some countries or some demographics, but overall our apps continue to grow from a large base. We're also seeing engagement grow -- especially strong growth in Reels -- and I'll share more details around that when I discuss our product priorities shortly.

In terms of our business, total revenue grew slightly this quarter on a constant currency basis. We're still behind where I think we should be, but we believe that we will return to healthier revenue growth trends next year. That said, it's not clear that the economy has stabilized yet so we're planning our budget somewhat more conservatively.

In 2023, we're going to focus our investments on a small number of high priority growth areas. So that means some teams will grow meaningfully, but most other teams will stay flat or shrink over the next year. In aggregate, we expect to end 2023 as either roughly the same size, or even a slightly smaller organization than we are today.

Three of the primary areas we're going to focus on are our AI discovery engine that's powering Reels and other recommendation experiences, our ads and business messaging platforms, and our future vision for the metaverse. The internal indications I've seen suggest we're doing leading work and we're on the right track with these investments, so I think we should keep investing heavily in these areas.

As I've shared before, our goal is to grow Family of Apps operating income, such that even with our AI infrastructure and Reality Labs investments, we can still meaningfully grow our overall company operating income in the long run. Our current surge in capex is largely due to building out our AI infrastructure and we would expect capex to come down as a percent of revenue over the long term. We expect Reality Labs expenses will increase meaningfully again in 2023, with the biggest drivers of that being the launch of the next generation of our consumer Quest headset and hiring that's been done in 2022 but for which we'll be paying the first full year of salaries next year. More broadly, beyond 2023, we expect to pace Reality Labs investments to ensure that we can achieve our goal of growing overall company operating income. Our capital allocation philosophy over the long term is to allocate a portion of the profits generated from the Family of Apps towards these future focused areas while enabling greater return of capital to shareholders.

Now, I'd like to share some updates on the progress that we're seeing in these product areas.

Our AI discovery engine is playing an increasingly important role across our products -- especially as advances enable us to recommend more interesting content from across our networks in feeds that used to be primarily driven just by the people and accounts you follow.

This of course includes Reels, which continues to grow quickly across our apps -- both in production and consumption. There are now more than 140 billion Reels plays across Facebook and Instagram each day. That's a 50% increase from six months ago. Reels is incremental to time spent on our apps. The trends look good here, and we believe that we're gaining time spent share on competitors like TikTok.

Over time, I expect a few things to set our products apart here. First is that our discovery engine work allows us to recommend all types of content beyond Reels as well, including photos, text, links, communities, short and long-form videos, and more. Second is that we can mix this content alongside posts from your family and friends, which can't be generated by AI alone. Third, as more social interactions move to messaging, we're developing a flywheel between discovery and messaging that are going to make these apps stronger. On Instagram alone, people already reshare Reels 1 billion times a day through DMs.

Moving to monetization, I've discussed in the past how the growth of short-form video creates near-term challenges since Reels doesn't monetize at the rate of feed or stories yet. That means as Reels grows, we're displacing revenue from higher-monetizing surfaces. I think this is clearly the right thing to do so that Reels can grow with the demand we're seeing, but closing this gap is also a high priority. Even with the progress we've made, we're still choosing to take a more than $500 million quarterly revenue headwind with this shift. But we expect to get to a more neutral place over the next 12-18 months. I mentioned last quarter that Instagram Reels had crossed $1 billion annual revenue run rate. We continue scaling monetization across both Instagram and Facebook, and the combined run rate across these apps is now $3 billion.

Beyond Reels, messaging is another major monetization opportunity. Billions of people and millions of businesses use WhatsApp and Messenger every day, and we're confident we can connect them in ways that create valuable experiences.

We started with Click-to-Messaging ads, which let businesses run ads on Facebook and Instagram that start a thread on Messenger, WhatsApp or Instagram Direct so they can communicate with customers directly. This is one of our fastest growing ads products, with a $9 billion annual run rate. This revenue is mostly on Click-to-Messenger today since we started there first, but Click-to-WhatsApp just passed a $1.5 billion run rate, growing more than 80% year-over-year.

Paid messaging is another opportunity that we're starting to tap into, and it continues to grow quickly but from a smaller base. We're putting the foundation in place now to scale this with key partnerships like Salesforce, which lets all businesses on their platform use WhatsApp as the main messaging service to answer customer questions, send updates, and sell directly in chat. We also launched JioMart on WhatsApp in India and it's our first end-to-end shopping experience that shows the potential for chat-based commerce through messaging.

Between Click-to-Messaging and paid messaging, I'm confident that this is going to be a big opportunity.

The last area that I want to discuss today is the metaverse.

We just had our Connect conference and announced Quest Pro, which we just started shipping. It's our new high-end VR headset that delivers high-resolution mixed reality so you can blend virtual objects into the physical environment around you. It's pretty amazing when you see it, and it's going to enable all kinds of new experiences in socializing, gaming, fitness, and work. I'm really looking forward to seeing what people build with this new capability.

Work in the metaverse is a big theme for Quest Pro. There are 200 million people who get new PCs every year, mostly for work. Our goal for the Quest Pro line over the next several years is to enable more and more of these people to get their work done in virtual and mixed reality, eventually even better than they could on PCs.

To deliver a great work and productivity experience, I'm excited about the partnerships we announced with Microsoft bringing their suite of productivity and enterprise management services to Quest, Adobe and Autodesk bringing their creative tools, Zoom bringing their communication platform, Accenture building solutions for enterprises, and more.

There's still a long road ahead to build the next computing platform, but we are clearly doing leading work here. This is a massive undertaking and it's often going to take a few versions of each product before they become mainstream. But I think our work is going to be of historic importance and create the foundation for an entirely new way that we will interact with each other and blend technology into our lives, as well as a foundation for the long term of our business.

Between the AI discovery engine, our ads and business messaging platforms, and our future vision for the metaverse, those are three of the areas that we're very focused on. I believe the tougher prioritization, discipline, and efficiency that we're driving across the organization will help us navigate the current environment and emerge an even stronger company. As always, I'm grateful to everyone at Meta for your hard work, and to all of you for being on this journey with us.

With that, I'll turn it over to Dave.

Dave Wehner, CFO

Thanks Mark and good afternoon everyone.

Let’s begin with our consolidated results. All comparisons are on a year-over-year basis unless otherwise noted.

Q3 total revenue was $27.7 billion, down 4% or up 2% on a constant currency basis. Had foreign exchange rates remained constant with Q3 of last year, total revenue would have been approximately $1.8 billion higher.

Q3 total expenses were $22.1 billion, up 19% compared to last year. This includes a $413 million impairment of certain operating leases as part of our ongoing work to align our office facilities footprint with our anticipated operating needs. In terms of the specific line items:

Cost of revenue decreased 1%, as a reduction in Reality Labs hardware costs was offset by growth in infrastructure and content-related expenses.

R&D increased 45%, mainly driven by hiring within our Family of Apps and Reality Labs segments, as well as Reality Labs technology development costs.

Lastly, Marketing & Sales and G&A increased 6% and 15% respectively, mainly driven by headcount-related costs.

Our pace of hiring slowed in the third quarter, consistent with our previously-stated plans. We added 3,700 net new hires in Q3, down from our Q2 net additions of 5,700 despite Q3 typically being a seasonally stronger hiring period. We expect hiring to slow dramatically going forward and to hold headcount roughly flat next year relative to current levels, which I will cover in my outlook section.

Third quarter operating income was $5.7 billion, representing a 20% operating margin.

Our tax rate was 21%.

Net income was $4.4 billion or $1.64 per share.

Capital expenditures, including principal payments on finance leases, were $9.5 billion, driven by investments in servers, data centers, and network infrastructure.

Free cash flow was $173 million. We repurchased $6.5 billion of our Class A common stock in the third quarter and completed an inaugural debt offering of $10 billion. We ended the quarter with $41.8 billion in cash and marketable securities.

Moving now to our segment results.

I'll begin with our Family of Apps segment.

Our community across the Family of Apps continues to grow. We estimate that approximately 2.9 billion people used at least one of our Family of Apps on a daily basis in September, and that approximately 3.7 billion people used at least one on a monthly basis.

Facebook continues to grow globally and engagement remains strong. Facebook daily active users were 1.98 billion, up 3% or 54 million compared to last year. DAUs represented approximately 67% of the 2.96 billion monthly active users in September. MAUs grew 48 million or 2% compared to last year.

Q3 Total Family of Apps revenue was $27.4 billion, down 4%.

Q3 Family of Apps ad revenue was $27.2 billion, down 4% but up 3% on a constant currency basis. Consistent with our expectations, the headwind to year-over-year growth from Apple's ATT changes diminished in Q3 as we lapped the first full quarter post the launch of iOS14.5. However, this was offset by weak advertising demand, which we believe continues to be impacted by the uncertain and volatile macroeconomic landscape. As a result, our Q3 constant currency growth rate was in-line with our Q2 rate.

The healthcare and travel verticals were the largest positive contributors to growth in Q3. However, this was offset by continued softness in other verticals, including online commerce, gaming, financial services and CPG. On an advertiser size basis, revenue growth from large advertisers remains challenged while we've seen more resilience amongst smaller advertisers.

Foreign currency was a significant headwind to advertising revenue growth in all international regions. On a user geography basis, year-over-year ad revenue growth was strongest in Asia-Pacific and Rest of World at 6% and 3%, respectively, with both regions continuing to benefit meaningfully from strong growth in click-to-messaging ads. North America and Europe declined 3% and 16%, respectively.

In Q3, the total number of ad impressions served across our services increased 17% and the average price per ad decreased 18%.

Impression growth was driven by Asia-Pacific and Rest of World. The year-over-year decline in pricing was primarily driven by strong impression growth, especially from lower monetizing surfaces and regions, foreign currency depreciation and lower advertiser demand.

Family of Apps other revenue was $192 million, up 9%, driven by strong business messaging growth from our WhatsApp Business Platform partially offset by a decline in other line items.

We continue to direct the majority of our investments toward the development and operation of our Family of Apps. In Q3, Family of Apps expenses were $18.1 billion, representing 82% of our overall expenses. FoA expenses grew 18% driven mostly by employee-related costs, infrastructure-related costs, and the impairment of certain operating leases for office facilities that we plan to exit.

Family of Apps operating income was $9.3 billion, representing a 34% operating margin.

Within our Reality Labs segment, Q3 revenue was $285 million, down 49% due to lower Quest 2 sales.

Reality Labs expenses were $4.0 billion, up 24% due primarily to employee-related costs and technology development expenses.

Reality Labs operating loss was $3.7 billion.

Turning now to the outlook.

We expect fourth quarter 2022 total revenue to be in the range of $30-32.5 billion. Our guidance assumes foreign currency will be an approximately 7% headwind to year-over-year total revenue growth in the fourth quarter, based on current exchange rates.

Before turning to the expense outlook, I wanted to provide some context on the approach we are taking towards setting our 2023 budget. We are making significant changes across the board to operate more efficiently. We are holding some teams flat in terms of headcount, shrinking others and investing headcount growth only in our highest priorities. As a result, we expect headcount at the end of 2023 will be approximately in-line with third quarter 2022 levels.

We have increased scrutiny on all areas of operating expenses. However, these moves follow a substantial investment cycle so they will take time to play out in terms of our overall expense trajectory. Some steps, like the ongoing rationalization of our office footprint, will lead to incremental costs in the near term. This should set us up well for future years, when we expect to return to higher rates of revenue growth.

Turning now to the specific expense outlook for 2022 and 2023.

We expect 2022 total expenses to be in the range of $85-87 billion, updated from our prior outlook of $85-88 billion. This includes an estimated $900 million in additional charges related to consolidating our office facilities footprint that we expect to record in the fourth quarter of 2022.

We anticipate our full-year 2023 total expenses will be in the range of $96-101 billion. This includes an estimated $2 billion in charges related to consolidating our office facilities footprint.

We expect the slight majority of our 2023 expense dollar growth to be driven by operating expenses, with the remaining growth coming from cost of revenue. We expect the percentage growth rate of 2023 operating expenses to decelerate meaningfully as we curtail non-headcount related expense growth and keep 2023 headcount roughly flat with current levels. Conversely, our growth in cost of revenue is expected to accelerate, driven by infrastructure-related expenses and, to a lesser extent, Reality Labs hardware costs driven by the launch of our next generation of our consumer Quest headset later next year.

Reality Labs expenses are included in our total expense guidance. We do anticipate that Reality Labs operating losses in 2023 will grow significantly year-over-year. Beyond 2023, we expect to pace Reality Labs investments such that we can achieve our goal of growing overall company operating income in the long run.

Before turning to our capex outlook, I'd like to provide some context on our infrastructure investment approach. We are currently going through an investment cycle, which is being primarily driven by two large areas of investment:

First, we are significantly expanding our AI capacity. These investments are driving substantially all of our capital expenditure growth in 2023. There is some increased capital intensity that comes with moving more of our infrastructure to AI. It requires more expensive servers and networking equipment, and we are building new data centers specifically equipped to support next generation AI-hardware. We expect these investments to provide us a technology advantage and unlock meaningful improvements across many of our key initiatives, including Feed, Reels and ads. We are carefully evaluating the return we achieve from these investments, which will inform the scale of our AI investment beyond 2023.

Second, we are making ongoing investments in our data center footprint. In recent years, we have stepped up our investment in bringing more data center capacity online and that work is ongoing in 2023. We believe the additional data center capacity will provide us greater flexibility with the types of servers we purchase and allow us to use them for longer, which we expect to generate greater cost efficiencies over time.

These investments, along with revenue headwinds, are contributing to higher capital expenditures as a percentage of revenue in 2022 and 2023 than we expect over the long-term.

Turning now to the specific capex outlook for 2022 and 2023.

We expect 2022 capital expenditures, including principal payments on finance leases, to be in the range of $32-33 billion, updated from our prior range of $30-34 billion.

For 2023, we expect capital expenditures to be in the range of $34-39 billion, driven by our investments in data centers, servers, and network infrastructure. An increase in AI capacity is driving substantially all of our capital expenditure growth in 2023.

Turning to tax. Absent any changes to U.S. tax law, we expect our fourth quarter 2022 and our full year 2023 tax rate to be similar to the third quarter 2022 rate.

In addition, as noted on previous calls, we continue to monitor developments regarding the viability of transatlantic data transfers and their potential impact on our European operations.

In closing, we are pleased with the growth of the community using our Family of Apps and the engagement improvements we are driving with efforts such as Reels and our AI-powered content recommendations. While we are facing near-term headwinds on revenue, the fundamentals are there for a return to stronger top-line growth. We are approaching 2023 with a focus on efficiency and spending discipline, and I am optimistic that these moves will set us up well to achieve our goal of driving operating income growth over the long-term while investing for future growth.

On a personal note, I will be closing out a decade at Meta in the next couple weeks including the last 8 years as CFO. In my new role, I am looking forward to continuing to help the company achieve its long-term mission and execute on its financial plan. I couldn't be happier to hand off the CFO role to Susan Li who is one of the most talented executives that I have had a chance to work with in my long career in finance and tech.

And with that, [Martin], let me open up the call for questions.